Atlantic Lottery Corporation (:)

FY 2026 Earnings — Analyst Brief · Released 21 Oct 2026 · Currency CAD (tables in CA$ millions; ~US$ equivalents in parentheses at an indicative CAD/USD 0.72 — see confidence note)

n/a — Atlantic Lottery Corporation is an unlisted Crown corporation owned by the governments of New Brunswick, Nova Scotia, Prince Edward Island and Newfoundland & Labrador; it has no traded equity, no EPS and no share price. The relevant 'market' reaction was political: within a week of the 21 Oct 2026 report, New Brunswick introduced a bill to regulate live online casino games and its finance minister said the province is exploring options to regulate private online gambling operators.

CONFIDENTIAL · INTERNAL
Prepared: 4 Nov 2026
B2Tech · via Merlin

THE ONE-LINE VERDICT

A flat year dressed up as a 50th-anniversary milestone: FY26 (Mar-26) net profit of CA$492.1m (~$354m) fell 1.3% YoY and missed the CA$502.4m (~$362m) budget by CA$10.3m (~$7.4m), the third straight year below target, as Destination (VLT/Red Shores) profit fell 7.4% and Retail lottery fell 4.6%, and iLottery's +15.4% (+CA$17.8m / ~$12.8m) was not quite enough to plug the hole. The real tell is Core Gross Gaming Revenue of CA$744.8m (~$536m), 6.1% below target and 4.6% lower YoY, while the illegal-operator leakage estimate was lifted from ~CA$200m to ~CA$250m (~$180m) a year — the grey market is growing at least as fast as ALC's online share (35%, +1pt). New Brunswick's review of licensing private online operators is now the dominant swing factor for the franchise.

REVENUE (GROSS SALES LESS PRIZES)	NET PROFIT (100% REMITTED TO PROVINCES)	ILOTTERY PROFIT	DESTINATION (VLT + RED SHORES) PROFIT	CORE GROSS GAMING REVENUE (SCORECARD)	SHARE OF REGIONAL ONLINE BETTING & GAMING
CA$889.6m (~$641m)	**CA$492.1m (~$354m)**	**CA$133.8m (~$96m)**	**CA$225.0m (~$162m)**	**CA$744.8m (~$536m)**	**35%**
-0.1% YoY (-CA$1.3m)	-1.3% YoY; -2.1% vs CA$502.4m budget	+15.4% YoY (+CA$17.8m)	-7.4% YoY (-CA$18.1m)	-4.6% YoY; -6.1% vs CA$793.1m target	+1pt YoY (34% FY25; 22% FY24)

1 EXECUTIVE SUMMARY

- **Headline miss, third year running below plan.** FY26 (year to 31 Mar 2026) net profit was CA$492.1m (~$354m), down CA$6.7m (~$4.8m) or 1.3% from CA$498.8m (~$359m) in FY25 and CA$10.3m (~$7.4m) short of the CA$502.4m (~$362m) budget. ALC has now missed its net-profit target in FY24 (CA$487.0m vs CA$500m), FY25 (CA$498.7m vs CA$500.0m) and FY26 — profit has effectively been flat at ~CA$490m since FY23 (CA$492.2m).
- **Revenue flat, mix shifting fast.** Revenue (gross sales less prizes) was CA$889.6m (~$641m), -0.1% YoY vs CA$890.9m (~$641m). Beneath the flat print: Destination -CA$20.4m (~$14.7m), Retail lottery -CA$10.4m (~$7.5m), iLottery +CA$27.9m (~$20.1m), sports net revenue +4.1% to CA$13.7m (~$9.9m). The residual ~+CA$1.6m is not itemised in the release.
- **The miss was driven by Destination, not by online.** By line of business, Destination & Red Shores profit fell CA$18.1m (~$13.0m, -7.4%) to CA$225.0m (~$162m); Retail fell CA$6.4m (~$4.6m, -4.6%) to CA$133.2m (~$96m); iLottery rose CA$17.8m (~$12.8m, +15.4%) to CA$133.8m (~$96m). Online is now 27% of group profit (FY24: 19%), Destination 46% (FY24: 53%).
- **Core GGR tells a worse story than the headline.** The scorecard 'Core Gross Gaming Revenue' was CA$744.8m (~$536m) against a CA$793.1m (~$571m) target — a CA$48.3m (~$35m) or 6.1% shortfall — and -4.6% YoY from CA$780.6m (~$562m). Profit was protected by cost control and lower prize/other distributions, not by top-line delivery.
- **Cost base crept up on a flat top line — negative operating leverage.** Direct expenses CA$162.2m (~$117m, 'slightly higher'; implied ~+0.8%); operating & admin CA$141.0m (~$102m, +2%, 15.8% of revenue vs ~15.5%); capital-related costs CA$30.1m (~$22m, +9%); other expenses & distributions CA$64.1m (~$46m, -2%). Total expenses ~CA$397.4m (~$286m), 44.7% of revenue vs ~44.0% in FY25. Net margin 55.3%, -70bps.
- **Online share gain is decelerating while the grey market accelerates.** ALC's share of regional online betting & gaming rose to 35% from 34% — versus the 22%→34% jump in FY25 when iCasino was expanded (casino net revenue +46.8% that year). Management simultaneously raised its estimate of money leaving the region through illegal operators to ~CA$250m (~$180m) a year from ~CA$200m (~$144m) — i.e., the addressable grey market grew ~25% while ALC's share moved 1pt.
- **Provincial remittances: New Brunswick is the weak spot.** Nova Scotia CA$164.5m (~$118m, -0.3%); Newfoundland & Labrador CA$152.8m (~$110m, -0.2%); New Brunswick CA$148.9m (~$107m, -3.7% from CA$154.6m); PEI CA$25.8m (~$19m, -0.5%). NB's underperformance matters because NB is the province now publicly reviewing whether to license private online operators.
- **Regulatory overhang is the thesis risk.** Within a week of the report, New Brunswick introduced a bill to regulate live online casino games (legitimising ALC's new Live Casino product) and its finance minister said the province is exploring options to regulate private online gambling operators. An Ontario-style open market in NB would convert ALC's monopoly into a competitive share fight in its second-largest profit province.
- **Prizes and winners.** Prizes awarded fell CA$5.5m (~$4.0m, -1.2%) to CA$455.7m (~$328m), but the count of CA$10k+ prizes rose 20% to 1,612 (1,343). Implied gross sales ≈ CA$1.35bn (~$0.97bn), -0.5% YoY, with an implied payout ratio of ~33.9% (34.1%). Retail commentary cited a 'less favourable' jackpot cycle — a timing headwind that partially reverses in FY27 (Lotto Max hit a record CA$90m / ~$65m jackpot in Oct 2026).
- **Product cadence is the credible part of the response.** In FY26 ALC launched AL Rewards (loyalty), Live Casino, deeper personalisation and new retail and video-lottery terminal technology, and says a modernised sports-betting platform to relaunch PRO•LINE is in preparation. Sports is tiny (CA$13.7m / ~$9.9m net revenue, +4.1%) and is the most obvious share-recapture opportunity against offshore books.
- **Healthy-play metrics are strong and are being used as a competitive weapon.** More than 27.5% of online players set at least one discretionary limit (above the corporate scorecard target and 'more than double' the industry standard); ALC was recertified at WLA Responsible Gaming

Level 4. Management frames this plus local sponsorship as its 'home-field advantage' versus illegal sites.

- **Capital position: structurally a pass-through.** ALC remits 100% of profit to its four provincial shareholders; there is no retained equity, buyback or dividend policy to analyse. Balance-sheet and cash-flow detail (debt, cash, capex) for FY26 were not accessible in this session — n/a. The +9% rise in capital-related costs (depreciation/interest on capital programmes) is the only visible signal of a heavier investment cycle.
- **No formal guidance; budgets are the only forward marker.** ALC does not guide externally; the FY26 budget (CA$502.4m / ~$362m net profit; CA$793.1m / ~$571m core GGR) was missed. FY27 scorecard targets were not disclosed in the materials we could access — n/a.
- **50-year cumulative stats are what management is leading with.** Since 1976: ~CA$13.4bn (~$9.6bn) profit returned, CA$13bn (~$9.4bn) in prizes, CA$4.6bn (~$3.3bn) in retailer commissions, >CA$31bn (~$22bn) combined; 91 cents of every lottery dollar stayed in the region in FY26 (92 cents in FY25 — a small but telling leakage of 1 cent).
- **What is emphasised vs. buried.** The release leads with the anniversary, the CA$492m remittance and the illegal-market narrative; it does not lead with the CA$48m core-GGR shortfall, the third consecutive budget miss, or absolute revenue by line of business (only deltas are given). Secondary coverage (RG.org) had to surface the budget variance.
- **Discrepancy flagged.** RG.org cites Destination profit -CA$19m / -7.9%, whereas the company's CA$225m vs CA$243.1m implies -CA$18.1m / -7.4%; the difference is most likely Destination ex-Red Shores. We use company-reported figures throughout.
- **Read-through for the sector.** (i) The Canadian grey market outside Ontario is still growing double digits — supportive for the operators that would enter an NB/Atlantic open market (Flutter/FanDuel, DraftKings, Entain/BetMGM, Rush Street) and negative for monopoly-franchise valuations of provincial lotteries; (ii) VLT softness tied to bar/restaurant footfall is a mild negative datapoint for route-style gaming suppliers; (iii) iLottery/iCasino content and platform vendors to ALC continue to see mid-teens growth.
- **Bottom line.** This is a business whose profit pool is being held flat by an online engine growing ~15-17% that must offset a terrestrial base (73% of profit) shrinking ~5-7% a year. The crossover maths works for perhaps two more years; after that, either online growth re-accelerates (PRO•LINE relaunch, Live Casino, NB regulatory clarity) or the remittance line starts to decline.

2 GROUP FINANCIAL SUMMARY

CA$M (~US$M AT 0.72)	FY26 (MAR-26)	FY25 (MAR-25)	YOY	FY26 BUDGET	VS BUDGET
Revenue (gross sales less prizes)	**889.6 (~641)**	**890.9 (~641)**	**-0.1%**	**n/a**	**n/a**
REVENUE CHANGE BY LINE OF BUSINESS					
Retail lottery (Δ YoY) Less favourable jackpots; retail-environment dynamics	-10.4 (~-7.5)	n/a	n/a	n/a	n/a
Destination – VLT & Red Shores (Δ YoY) Economic pressure; shift to online	-20.4 (~-14.7)	n/a	n/a	n/a	n/a
iLottery (Δ YoY)	+27.9 (~+20.1)	n/a	n/a	n/a	n/a
Sports net revenue (PRO•LINE)	13.7 (~9.9)	13.2 (~9.5)	+4.1%	n/a	n/a
Core gross gaming revenue (scorecard)	744.8 (~536)	780.6 (~562)	-4.6%	793.1 (~571)	-6.1%
EXPENSES					
Direct expenses	162.2 (~117)	~160.9 (~116) [implied]	'slightly higher' (~+0.8%)	n/a	n/a
Operating & administrative 15.8% of revenue vs ~15.5%	141.0 (~102)	~138.2 (~100) [implied]	+2%	n/a	n/a
Capital-related costs	30.1 (~22)	~27.6 (~20) [implied]	+9%	n/a	n/a
Other expenses & distributions	64.1 (~46)	~65.4 (~47) [implied]	-2%	n/a	n/a
Total expenses 44.7% of revenue vs ~44.0%	~397.4 (~286)	~392.1 (~282) [implied]	~+1.4%	n/a	n/a
Net profit (remitted to provinces)	**492.1 (~354)**	**498.8 (~359)**	**-1.3%**	**502.4 (~362)**	**-2.1% (-10.3)**
Net profit margin	55.3%	56.0%	-70bps	n/a	n/a
NET PROFIT BY LINE OF BUSINESS					
Retail (lottery)	133.2 (~96)	139.6 (~101)	-4.6%	n/a	n/a
Destination & Red Shores RG.org cites -19.0 / -7.9% (likely ex-Red Shores)	225.0 (~162)	243.1 (~175)	-7.4%	n/a	n/a
iLottery	133.8 (~96)	116.0 (~84)	+15.4%	n/a	n/a
NET PROFIT BY PROVINCE					
Nova Scotia	164.5 (~118)	165.1 (~119)	-0.3%	n/a	n/a
Newfoundland & Labrador	152.8 (~110)	153.1 (~110)	-0.2%	n/a	n/a
New Brunswick	148.9 (~107)	154.6 (~111)	-3.7%	n/a	n/a
Prince Edward Island	25.8 (~19)	25.9 (~19)	-0.5%	n/a	n/a
PER-SHARE METRICS					
GAAP / adjusted EPS	n/a (Crown corp., no shares)	n/a	n/a	n/a	n/a
GROUP KPIS					
Share of regional online betting & gaming	35%	34%	+1pt	n/a	n/a
Est. annual leakage to illegal operators	~250 (~180)	~200 (~144)	~+25%	n/a	n/a
Prizes awarded	455.7 (~328)	461.2 (~332)	-1.2%	n/a	n/a
Prizes ≥ CA$10k (count)	1,612	1,343	+20%	n/a	n/a
Known players	n/a	372,461	n/a	n/a (FY25 target 383,911)	n/a
Online players setting ≥1 healthy-play limit	>27.5%	113,853 users	n/a	above target	n/a
Cents of each lottery dollar kept in region	91¢	92¢	-1¢	n/a	n/a
CASH, DEBT, OPERATING & FREE CASH FLOW					
Cash / net debt / leverage / OCF / FCF 100% of profit is distributed; capital programmes historically funded with short-term debt	n/a [FY26 statements not accessible]	n/a	n/a	n/a	n/a

3 SEGMENT DEEP-DIVE — ILOTTERY (ICASINO, ONLINE LOTTERY, PRO•LINE SPORTS)

Still the only growth engine: profit +15.4% to CA$133.8m (~$96m), but share gain slowed to +1pt as the grey market grew ~25%.

REVENUE AND PROFIT

Still the only growth engine: profit +15.4% to CA$133.8m (~$96m), with FY26 revenue estimated at roughly CA$187m (~$135m), ~+17.5%.

- iLottery revenue rose CA$27.9m (~$20.1m) in FY26; absolute figure not given. FY25 iGames net revenue was CA$159.2m (~$115m, +26.2%, casino +46.8%).
- Our ~CA$187m (~$135m) estimate assumes 'iLottery revenue' maps to the iGames net revenue line in the annual report.
- Profit grew CA$17.8m (~$12.8m) or 15.4% to CA$133.8m (~$96m) from CA$116.0m (~$84m), after +29% in FY25.
- Implied profit-to-revenue ratio slipped to ~71.5% from ~72.9%, consistent with heavier platform, content and loyalty investment (AL Rewards, Live Casino, personalisation).
- iLottery is now 27.2% of group profit, up from 23.3% in FY25 and 18.5% in FY24; profit up 48.5% over two years.

MARKET SHARE

Share rose to 35% from 34%, but with grey-market leakage up to ~CA$250m (~$180m), a 1pt gain on a market growing ~25% is keeping pace, not share capture.

- Share gain of 1pt is meaningfully slower than the 22%-to-34% step-change of FY25, driven by the broadening of the iCasino catalogue.
- This came in a year in which Live Casino was launched and a loyalty scheme introduced.
- Management raised its estimate of money leaving Atlantic Canada through illegal operators to approximately CA$250m (~$180m) a year from ~CA$200m (~$144m).
- Together the data imply the regional online market grew faster than ALC's online business did.
- Against our ~CA$187m (~$135m) revenue estimate, ALC still captures well under half of regional online spend on any definition.

PRO•LINE SPORTS

Sports remains sub-scale at CA$13.7m (~$9.9m), +4.1%; a PRO•LINE relaunch in FY27 is the single most important product catalyst for this segment.

- Sports net revenue is roughly 7% of the online line.
- FY25 scorecard showed 'betting and gaming gross revenue' of CA$110.3m (~$79m) against a CA$93.2m (~$67m) target; FY26 equivalent not disclosed.
- Management is readying a modernised sports-betting platform; timing and vendor were not given.
- Single-event betting has been legal in Canada since 2021 and offshore and Ontario-licensed books dominate, so PRO•LINE is the clearest share-recapture opportunity and clearest evidence ALC has been slow.

> *"strengthen PRO•LINE for the future"* — **Management**

RESPONSIBLE GAMBLING

More than 27.5% of online players set a healthy-play limit, exceeding the scorecard target and more than double the industry standard, used as a differentiator against unlicensed sites.

- FY25: 113,853 users of online discretionary tools vs a 116,210 target.
- ALC was recertified at WLA Responsible Gaming Level 4, the top tier it has held since 2010.
- This underpins ALC's lobbying position that provinces should enforce against, rather than license, private operators.

REGULATION AND OUTLOOK

New Brunswick's possible licensing of private operators is the swing factor; we expect FY27 iLottery profit growth of 10-15% (+CA$13-20m / ~$10-14m).

- NB introduced legislation to regulate live online casino games, effectively giving statutory cover to the Live Casino product ALC launched in FY26.
- NB's finance minister said the province is exploring options to regulate private online gambling operators.
- An Ontario-style regime would turn ALC's NB online monopoly (NB remittance CA$148.9m / ~$107m, already -3.7%) into a share contest against FanDuel, DraftKings, BetMGM and Rush Street-class competitors, with 35% share the opening position rather than the ceiling.
- A full year of Live Casino and the PRO•LINE relaunch are the upside drivers.
- That growth is approximately what is needed just to hold group profit flat.

CA$M (~US$M AT 0.72)	FY26 (MAR-26)	FY25 (MAR-25)	YOY	FY24 (MAR-24)	2-YR CHANGE
iGames net revenue (iCasino + online lottery + sports) FY26 derived from reported +CA$27.9m change on FY25 base	**~187.1 (~135) [est.]**	**159.2 (~115)**	**~+17.5% [est.]**	**126.1 (~91)**	**~+48% [est.]**
of which sports net revenue	13.7 (~9.9)	13.2 (~9.5)	+4.1%	n/a	n/a
of which casino net revenue (growth)	n/a	+46.8%	n/a	n/a	n/a
Betting & gaming gross revenue (scorecard)	n/a	110.3 (~79) vs 93.2 target	n/a	n/a	n/a
iLottery net profit	**133.8 (~96)**	**116.0 (~84)**	**+15.4%**	**90.1 (~65)**	**+48.5%**
Implied profit / net revenue	~71.5% [est.]	72.9%	~-140bps	71.4%	flat
Share of group net profit	27.2%	23.3%	+390bps	18.5%	+870bps
Share of regional online betting & gaming	35%	34%	+1pt	22%	+13pts
Est. annual leakage to illegal operators	~250 (~180)	~200 (~144)	~+25%	n/a	n/a
Online players setting ≥1 limit	>27.5% of online players	113,853 users (target 116,210)	n/a	77,473 users	n/a
Product launches	Live Casino; AL Rewards; personalisation	iCasino catalogue expansion	—	—	—

4 SEGMENT DEEP-DIVE — DESTINATION (VIDEO LOTTERY NETWORK + RED SHORES RACETRACK & CASINO)

Largest profit pool, shrinking fastest: profit -7.4% to CA$225.0m (~$162m) after -5.2% in FY25, with ~89% of the revenue decline dropping straight through.

PROFIT DECLINE

Largest profit pool, shrinking fastest: profit -7.4% to CA$225.0m (~$162m) after -5.2% in FY25, with ~89% of lost revenue dropping through.

- Revenue fell CA$20.4m (~$14.7m); profit fell CA$18.1m (~$13.0m) from CA$243.1m (~$175m).
- FY25 declined 5.2% from CA$256.5m (~$185m), so the line has shed 12.3% of profit in two years.
- Share of group profit has fallen from 52.7% in FY24 to 45.7%.
- Site-holder commissions flex with play, but central-system, terminal and Red Shores property costs do not, so every lost VLT dollar is close to a dollar of lost provincial remittance.

DRIVERS OF DECLINE

Management blames economic pressures and the shift to online, with a substantial share of migrating play going to operators ALC classifies as illegal.

- The CEO told local media that conversations with bar and restaurant owners confirm venue visits are down alongside video-lottery play.
- ALC captures a portion of migrating play through its own iCasino.
- Local reports put traditional VLT play down by close to CA$10m (~$7m); the split between VLT network and Red Shores was not disclosed.
- RG.org's -CA$19m / -7.9% 'Destination' profit figure differs from the -CA$18.1m / -7.4% implied by CA$225m vs CA$243.1m, most plausibly because the former excludes Red Shores.

> *"the continued shift toward online gaming platforms"* — **Management**

CHANNEL INVESTMENT

New VLT terminal technology and healthy-play activations continued, likely driving the capital-related cost line +9% to CA$30.1m (~$22m), but structural picture unchanged.

- Management cites new video-lottery terminal technology deployed during the year and healthy-play activations at VLT sites and Red Shores.
- VLTs are the product most directly substituted by illegal online casino.
- The VLT player demographic is the most exposed to the affordability squeeze management describes.

OUTLOOK

Model Destination as a 5-8% annual profit decliner (-CA$11-18m / ~$8-13m in FY27); at 46% of group profit it sets the group's trajectory.

- Risk to the downside if hospitality footfall does not recover; no identifiable catalyst other than enforcement against offshore sites.
- A New Brunswick decision to license private online casino would accelerate cannibalisation of NB VLT revenue even if ALC retained its own iCasino share.
- This segment, not iLottery, sets the group's trajectory.

CA$M (~US$M AT 0.72)	FY26 (MAR-26)	FY25 (MAR-25)	YOY	FY24 (MAR-24)	2-YR CHANGE
Destination revenue (Δ YoY)	**-20.4 (~-14.7)**	**n/a**	**n/a**	**n/a**	**n/a**
of which VLT play (local media)	~-10 (~-7) [unverified]	n/a	n/a	n/a	n/a
of which Red Shores	n/a	n/a	n/a	n/a	n/a
Destination & Red Shores net profit RG.org: -19.0 / -7.9% (likely Destination ex-Red Shores)	**225.0 (~162)**	**243.1 (~175)**	**-7.4% (-18.1)**	**256.5 (~185)**	**-12.3%**
Revenue-to-profit drop-through	~89%	n/a	n/a	n/a	n/a
Share of group net profit	45.7%	48.7%	-300bps	52.7%	-700bps
Stated drivers	Affordability; hospitality footfall; online substitution	Economic conditions	—	—	—
Investment	New VLT terminal tech; healthy-play site activations	—	—	—	—

5 SEGMENT DEEP-DIVE — RETAIL (DRAW GAMES, SCRATCH'N WIN, PRO•LINE AT RETAIL)

Second consecutive decline: profit -4.6% to CA$133.2m (~$96m) on a weak jackpot cycle and thinning retail footfall; AL Rewards is the attempt to bridge retail players into the known-player base.

REVENUE AND PROFIT

Second consecutive decline: profit -4.6% to CA$133.2m (~$96m) on a weak jackpot cycle and thinning retail footfall.

- Revenue fell CA$10.4m (~$7.5m), attributed to less favourable jackpots and 'evolving dynamics in retail environments' — lower convenience-store traffic and migration of draw-game purchases to the ALC app.
- Profit down CA$6.4m (~$4.6m) from CA$139.6m (~$101m), after a near-flat FY25 (-0.6% from CA$140.4m / ~$101m).
- The ~62% drop-through reflects variable retailer commissions and prize expense.
- Retail is 27.1% of group profit, down from 28.8% in FY24; profit down 5.1% over two years.

PRIZES AND JACKPOTS

Prizes fell CA$5.5m (~$4.0m) to CA$455.7m (~$328m) while CA$10,000-plus wins rose 20% to 1,612, reflecting a draw portfolio lacking large rolling jackpots.

- Prizes of CA$10,000 or more rose to 1,612 from 1,343; the portfolio (Lotto Max, Lotto 6/49, Atlantic 49) lacked big jackpots that drive casual-player sales.
- Implied gross sales were ~CA$1.35bn (~$0.97bn), -0.5%, at a ~33.9% payout.
- Jackpot sequencing is one-off: Lotto Max hit a record CA$90m (~$65m) jackpot in October 2026, inside FY27 H1, so the retail comparison should ease.

NETWORK AND AL REWARDS

AL Rewards aims to convert anonymous retail play into identified cross-sellable players — the right idea, but it risks accelerating the channel shift it is meant to manage.

- FY25 annual report showed 2,748 retail terminals (NB 817, NL 821, NS 963, PEI 147), down 1.6% from 2,793 in FY24.
- FY26 terminal counts and known-player figures (FY25: 372,461 vs a 383,911 target) were not disclosed.
- During FY26 ALC launched AL Rewards, rolled out new retail terminal technology and ran a 50th-anniversary 'Celebrate & Share' Scratch'N Win ticket with a charitable add-on.

OUTLOOK

Retail is a slow-melt annuity: model profit down 2-4% a year absent a jackpot tailwind (-CA$3-6m / ~$2-4m in FY27), likely toward the better end.

- FY27 likely toward the better end given the record Lotto Max run.
- Retail commissions of CA$4.6bn (~$3.3bn) cumulative since 1976 remain politically important for the convenience-store base, constraining how aggressively ALC can steer players online.

CA$M (~US$M AT 0.72)	FY26 (MAR-26)	FY25 (MAR-25)	YOY	FY24 (MAR-24)	2-YR CHANGE
Retail lottery revenue (Δ YoY)	**-10.4 (~-7.5)**	**n/a**	**n/a**	**n/a**	**n/a**
Net ticket sales (corporate, all channels)	n/a	472.4 (~340)	n/a	438.3 (~316)	n/a
Retail net profit	**133.2 (~96)**	**139.6 (~101)**	**-4.6% (-6.4)**	**140.4 (~101)**	**-5.1%**
Revenue-to-profit drop-through	~62%	n/a	n/a	n/a	n/a
Share of group net profit	27.1%	28.0%	-90bps	28.8%	-170bps
Group prizes awarded	455.7 (~328)	461.2 (~332)	-1.2%	~447 (~322)	~+1.9%
Prizes ≥ CA$10k (count)	1,612	1,343	+20%	n/a	n/a
Implied gross sales (revenue + prizes)	~1,345 (~969) [derived]	~1,352 (~974) [derived]	-0.5%	n/a	n/a
Lottery retail terminals	n/a	2,748	n/a	2,793	-1.6% (FY25 vs FY24)
Known players (group)	n/a	372,461 (target 383,911)	n/a	362,180	n/a

6 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- iLottery profit +15.4% (+CA$17.8m / ~$12.8m) to CA$133.8m (~$96m), on revenue +CA$27.9m (~$20m); online now 27% of group profit vs 19% two years ago — the mix shift is real and compounding. structural
- Regional online share 35% (+1pt YoY; +13pts over two years) with ALC's iCasino, Live Casino and AL Rewards now live — the regulated offer is at least holding pace with a fast-growing grey market. structural
- Cost discipline in a flat year: other expenses & distributions -2% to CA$64.1m (~$46m); total expenses only ~+1.4%; net margin held at 55.3% despite a CA$48m (~$35m) core-GGR shortfall vs plan. mixed
- Responsible-gambling credentials — >27.5% of online players set a limit, WLA Level 4 recertified — are a genuine policy asset in the argument against licensing offshore operators. structural
- Sports net revenue +4.1% to CA$13.7m (~$9.9m) ahead of a modernised PRO•LINE platform — small base, but the clearest under-penetrated share-recapture lever. early
- Jackpot cycle was a headwind in FY26 and reverses in FY27: Lotto Max hit a record CA$90m (~$65m) in Oct 2026 — a timing tailwind for Retail. one-off
- CA$10k+ prize count +20% to 1,612 and 91¢ of every dollar retained regionally underpin the political licence that keeps the monopoly intact. mixed

▼ LOWLIGHTS

- Net profit CA$492.1m (~$354m), -1.3% YoY and CA$10.3m (~$7.4m) below budget — the third consecutive year below target; profit is flat versus FY23's CA$492.2m. structural
- Core gross gaming revenue CA$744.8m (~$536m): -6.1% vs the CA$793.1m (~$571m) target and -4.6% YoY — the operating top line is deteriorating faster than the headline revenue (-0.1%) implies. structural
- Destination profit -7.4% (-CA$18.1m / ~$13m) after -5.2% in FY25, with ~89% drop-through — the largest profit pool (46%) is in secular decline with no catalyst. structural
- Illegal-operator leakage estimate raised ~25% to ~CA$250m (~$180m) a year while ALC's share gained only 1pt — the market is outgrowing ALC's online business. watch
- New Brunswick (CA$148.9m / ~$107m, -3.7%) is both the weakest province and the one now openly reviewing licensing of private online operators — the single biggest franchise risk. governance
- Negative operating leverage: opex +2% and capital-related costs +9% on flat revenue; expense ratio up ~70bps to 44.7% — the investment programme (AL Rewards, Live Casino, PRO•LINE, terminals) is being funded from a shrinking terrestrial base. watch
- Disclosure: the release gives only revenue deltas by line of business, no balance sheet or cash-flow headline, and leaves a Destination profit discrepancy (-CA$18.1m company-implied vs -CA$19m cited by RG.org) unresolved. governance

7 FORECAST & OUTLOOK

Guidance bridge. ALC does not issue external guidance; the only forward markers are the annual balanced-scorecard budgets. FY26 was budgeted at CA$502.4m (~$362m) net profit and CA$793.1m (~$571m) core gross gaming revenue; actuals were CA$492.1m (~$354m) and CA$744.8m (~$536m) — misses of CA$10.3m (~$7.4m, -2.1%) and CA$48.3m (~$35m, -6.1%). The YoY bridge is unambiguous about where the pressure sits: Destination (VLT/Red Shores) took CA$18.1m (~$13m) off profit and Retail CA$6.4m (~$4.6m), against a CA$17.8m (~$12.8m) iLottery gain. FY27 (Mar-27) scorecard targets were not disclosed in the materials we could access.

FY25 NET PROFIT (ACTUAL)	ILOTTERY PROFIT	RETAIL + DESTINATION PROFIT	FY26 NET PROFIT (ACTUAL)
CA$498.8m (~$359m)	**+CA$17.8m (~+$12.8m)**	**-CA$24.5m (~-$17.6m)**	**CA$492.1m (~$354m)**
vs CA$500.0m budget	+15.4%; revenue +CA$27.9m	Retail -6.4 (-4.6%); Destination -18.1 (-7.4%)	-1.3% YoY; -CA$10.3m vs CA$502.4m budget

Independent view. Our FY27E (Mar-27) base case is revenue of CA$880-895m (~$634-644m) and net profit of CA$480-495m (~$346-356m), i.e. flat to -2.5% — all figures are our estimates. The arithmetic: iLottery profit +CA$13-20m (~$10-14m; +10-15%, with a full year of Live Casino, AL Rewards maturing and the PRO•LINE relaunch), offset by Destination -CA$11-18m (~$8-13m; -5-8% on continued VLT/footfall erosion) and Retail -CA$3-6m (~$2-4m; -2-4%, cushioned in H1 by the record CA$90m Lotto Max jackpot). **Margin:** we expect the expense ratio to drift up another ~50bps to ~45% as capital-related costs (+9% in FY26) and platform/content spend grow faster than revenue, taking net margin to ~54-55%. **Leverage/capital:** not meaningful — 100% of profit is remitted, so investment is funded through working capital and short-term borrowing; the FY26 balance sheet could not be accessed [n/a]. **Swing factors:** (1) New Brunswick's decision on licensing private online operators — an open market would, on Ontario precedent, roughly halve ALC's online share in NB over 2-3 years while the provincial treasury gained new tax; (2) the timing and quality of the PRO•LINE platform relaunch; (3) whether the ~CA$250m (~$180m) grey-market leakage continues to grow ~25% a year; (4) hospitality footfall in Atlantic Canada. **The structural point:** online must add >CA$25m (~$18m) of profit a year just to hold the group flat, and FY26 delivered CA$17.8m. Without a step-change (NB regulatory clarity in ALC's favour, enforcement, or a sports breakthrough), the remittance line starts to decline from FY28.

What to watch next quarter:

- New Brunswick: outcome of the finance minister's review of licensing private online operators, and passage/scope of the bill to regulate live online casino games (introduced late Oct 2026).
- PRO•LINE modernised sports-betting platform — launch date, vendor, and whether it includes same-game parlays and in-play at parity with offshore/Ontario books; sports was only CA$13.7m (~$9.9m) net revenue in FY26.
- Online share trajectory vs the illegal-leakage estimate in the FY27 report: a second year of +1pt against a ~25% larger grey market would confirm ALC is losing the race.
- VLT play and Red Shores: any disclosure of the split of the CA$20.4m (~$14.7m) Destination revenue decline, hospitality footfall data, and terminal-refresh economics.
- Retail jackpot cycle: Lotto Max record CA$90m (~$65m) in Oct 2026 should lift FY27 H1 draw sales; watch whether AL Rewards converts retail players to identified/online accounts (known-player count, FY25: 372,461).
- Cost growth: opex (+2%), capital-related costs (+9%) and total expense ratio (44.7%) — evidence of negative operating leverage persisting into FY27.
- FY27 balanced-scorecard targets (net profit, core GGR, betting & gaming gross revenue, known players) when the next report is filed; a fourth consecutive miss would raise governance questions with the four provincial shareholders.

DATA CONFIDENCE: MEDIUM Headline figures (revenue CA$889.6m; net profit CA$492.1m; LOB profits CA$133.2m/CA$225.0m/CA$133.8m; provincial remittances; 35% share; CA$250m leakage; prizes CA$455.7m) are corroborated across the ALC release text (via NASPL), the ALC CEO column, Gaming Intelligence, RG.org, Covers and NTV, and reconcile arithmetically (LOB and provincial sums = CA$492.0m; revenue less itemised expenses = CA$492.2m). Prior-year comparatives are from ALC's FY25 annual-report microsite. NOT verified / n/a: the FY26 annual-report microsite (annualreport.alc.ca/2026) and audited financial statements could not be opened in this session (research-tool quota exhausted), so absolute revenue by line of business, balance sheet, cash flow, known players, FY27 targets and the VLT/Red Shores split are n/a; FY25 expense lines are implied from reported % changes; FY26 iGames revenue (~CA$187m) is derived; the ~CA$10m VLT decline is from local media (unverified); RG.org's Destination -CA$19m/-7.9% conflicts with the company-implied -CA$18.1m/-7.4%. FX: CAD/USD 0.72 (USD/CAD ~1.39) is an INDICATIVE rate — the market rate for the 21 Oct 2026 release date could not be looked up before the tool quota was exhausted; all ~US$ figures are approximate and should be re-based.

Sources: [Primary] Atlantic Lottery — 'Atlantic Lottery celebrates 50 years of game-changing impact' (CEO Dallas McCready column on The Ticket, Oct 2026; links to the 2025-26 annual report); [Primary] Atlantic Lottery — 2025-26 Annual Report microsite (referenced by ALC; could not be opened in this session); [Primary] Atlantic Lottery news release, Moncton, 21 Oct 2026 — 'Atlantic Lottery Marks 50 Years of Game-Changing Impact in Atlantic Canada' (text as reproduced by NASPL Insights); [Primary] Atlantic Lottery — Annual Reports index (corporate site); [Primary] Atlantic Lottery — 2024-25 Annual Report microsite (prior-year comparatives, balanced scorecard, provincial profit, terminals); [Primary] Atlantic Lottery corporate release, 17 Oct 2025 — FY2024-25 results; [Secondary] Gaming Intelligence, 26 Oct 2026 — 'Canada's Atlantic Lottery delivers strong iLottery growth in 2025/26' (user-supplied; revenue, expense lines, LOB profits, provinces, prizes); [Secondary] RG.org, 22 Oct 2026 — 'Atlantic Lottery Returns $492M as New Brunswick Weighs iGaming Options' (budget variance, core GGR vs target, sports revenue, LOB % changes); [Secondary] Covers.com, 28 Oct 2026 — 'New Brunswick Moves to Regulate Live Online Casino Games' (NB remittance -3.7%; NB bill); [Secondary] NTV, 21 Oct 2026 — 'Atlantic Lottery marks 50 years with $492 million in profit for Atlantic provinces'; [Secondary] Gambling.com, Oct 2026 — 'Atlantic Lottery Returns $492M Profit, Warns Of Illegal Gambling Drain' (prior-year CA$498.7m; leakage ~CA$200m a year earlier); [Secondary] VOCM, 22 Oct 2026 — 'ALC Profits Take a Hit as Players Walk Away from VLTs' (CEO comments on hospitality footfall; ~CA$10m VLT decline — read via a syndicated copy; unverified); [Secondary] Canadian Gaming Business, 21 Oct 2025 — FY2024-25 report coverage (gross revenue CA$890.9m; iGames net revenue CA$159.2m; casino +46.8%).

Research analysis only — not a rating, price target, or personalised investment advice. Prepared for internal executive review.